Unit 6
Marketing and Business Regulations

Unit – VI: Marketing & Business Regulations: - Positioning, Positioning Strategies, Branding, Branding Strategies, Selecting and Measuring Channels , Customer Acquisition, Selling Process, Selling Skills, Sales Plans. Business regulations – List of Required Registrations, Compliance Check List, Business Structures and Legal Entities.

Positioning

- Positioning is the act of designing the company's offering and image to occupy a distinctive place in the target market's mind.
- Firms can position brands, the company, the CEO, or individual products.
- Positioning is a concept first popularized by Al Ries and Jack Trout in their best seller book "Positioning - A Battle for your Mind"
- Positioning is what the customer believes based on his/her experiences and evidence, rather than just the awareness created by advertising or promotion.
- Pricing, promotion, channels of distribution, and advertising are all geared by marketers to maximize the chosen positioning strategy.

Positioning and “Concepts of Positioning”

Positioning should be

- **Simple**
- **Creative**
- **Unique**

Conceptual Fundamentals of Positioning i.e. how should a Positioning Strategy be designed?

- Functional concepts

- Solve problems

- Provide benefits to customers

- Symbolic concepts
  - Self image enhancement
  - Ego identification
  - Belongingness and social meaningfulness
  - Affective fulfillment

- Experiential concepts
  - Provide sensory stimulation
  - Provide cognitive stimulation

Positioning Strategies

- Product or service attribute
- Technology positioning
- Benefit positioning
- User category
- Competitor positioning
- Integrator positioning
- Positioning of leader
- Positioning of follower
- Re positioning
- De positioning

Positioning Strategies

- Product or Service Attribute - May include features such as size, color, ingredients, speed, etc. Ex: Computer, financial planning services
- Technology Positioning - Positioning on the basis of technology shows that a firm is on the cutting edge. Ex: Oracle as database software, Microsoft for PC market
- Benefit Positioning - Benefit positioning is generally a stronger basis for positioning because it answers the consumer question: What will this product/service do for me? Ex: Volvo for safety
- User Category - User category positioning relies on customer segments. Ex: The Pepsi Generation, Wheaties the Breakfast of Champions
- Competitor Positioning - Many position by benefits that provide advantages over their competitors. Ex: Software company claiming to be superior, TOI

Positioning Strategies

Integrator positioning - Integrators provide everything a consumer needs in a particular product category, industry, or even in general.

Ex: Martha Stewart's Web site brings together business units in one place.

Positioning of leader – largest percentage of sales in terms of revenue. Ex – Coca Cola, McDonald's

Positioning of follower – claiming to be only second to the best. Ex: Lowenbrau and Beck's beer,

Avis Car Rentals – We are No:2, We Try Harder

Positioning Strategies

Repositioning Strategies - Repositioning is the process of creating a new or modified brand, company, or product position. Ex: Cadbury, Dabur (pharma to FMCG)

A company may enhance or modify a position, based on market feedback.

- Yahoo! repositioned from online guide to Web portal.
- Amazon repositioned from world's largest bookstore to "Earth's biggest selection."

De positioning – changing the identity of competing products, relative to identity of own products.

Ex: Bingo to Lay's, Fair and Lovely to Emami

"IPhone is for high end of the market"

"Finest in the sky"

"For drivers who value auto performance, BMW provides luxury vehicle that deliver joy through German engineering"

"To be the family friendly low cost restaurant in the fast food business"

Branding

- A **brand** is a name given to a product and/or service such that it takes on an identity by itself.

- A **brand** is a distinguishing symbol, mark, logo name, word, sentence or a combination of these items that companies use to distinguish their product from others in the market.

- **Branding** is the process of giving a meaning to specific organization, company, products or services by creating and shaping a brand in consumers' minds.

- **Branding** is a strategy designed by organizations to help people to quickly identify and experience their brand, and give them a reason to choose their products over the competition's, by clarifying what this particular brand is and is not.

Branding Tips	
1	Get a great logo
2	Write down your brand messaging.
3	Integrate your brand
4	Create a "voice" for your company that reflects your brand.
5	Develop a tagline.
6	Design templates and create brand standards for your marketing materials.
7	Be true to your brand.

Brand Association

- Brand association is anything which is deep seated in customer's mind about the brand.
- Brand associations are the attributes of brand which come into consumers mind when the brand is talked about , ex: images and symbols associated with a brand or a brand benefit

Hyatt Hotel is associated with luxury and comfort; BMW is associated with sophistication, fun driving, and superior engineering.

Most popular brand associations are with the owners of brand, such as

- Bill Gates and Microsoft, Reliance and Dhirubhai Ambani.

Brand Equity

- A brand's power derived from the goodwill and name recognition that it has earned over time, which translates into higher sales volume and higher profit margins against competing brands.

Branding Strategies

1. Product Branding/Multi-Brand strategy
2. Line Branding
3. Range Branding / Mixed Branding
4. Umbrella Branding Strategy
5. Source / Double Branding
6. Endorsement Branding
7. Private Labels / Store branding

1.Product Branding/Multi-Brand strategy

In multi-branding strategy the brand is Promoted exclusively so that it acquires its own identity and image and stand on its own. Allowed to acquire differentiation and exclusivity

- Targeted accurately to a distinct target market or customers because its positioning can be precise and unambiguous

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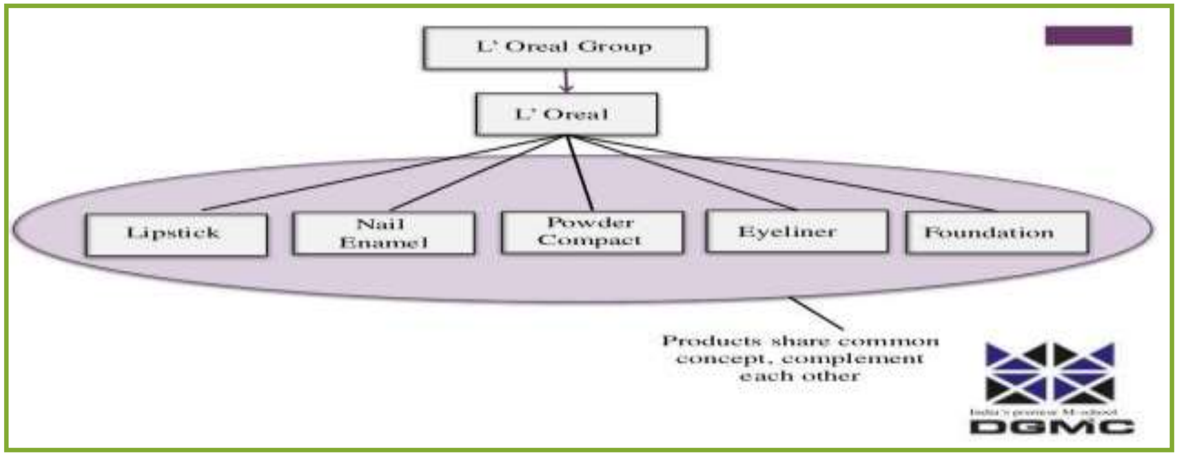
2. Line Branding

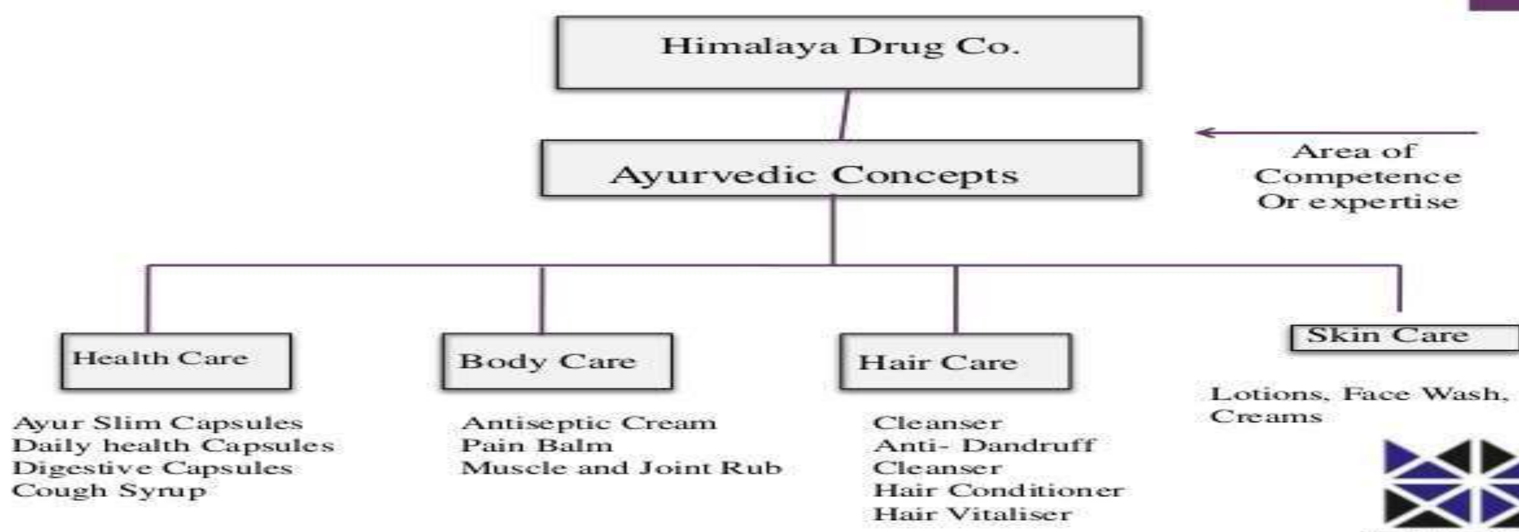
- Line in the context of product mix refers to various product lines that a firm may have in its total portfolio.
- For example: Philips – line extension has T.V, video and audio, personal care, communication and household appliances.
- The brand appeals to distinct market segments who appreciate and like the brand. Now the customers do not tend to be contended with one product which the brand offers
- Line extension is generally followed for complimentary products.



3. Range Branding / Mixed Branding

- Line branding restricts the brand's expansion into nearby territories of complementary products, which complement or support the main product's usage
- All the products share a common promise which stems from the firm's or range brand's area of competence
- The product are tied together by a single brand concept

Example: Nestle uses its Maggi brand for its range of fast food – Maggi noodles, sauces, soups, pastas,etc



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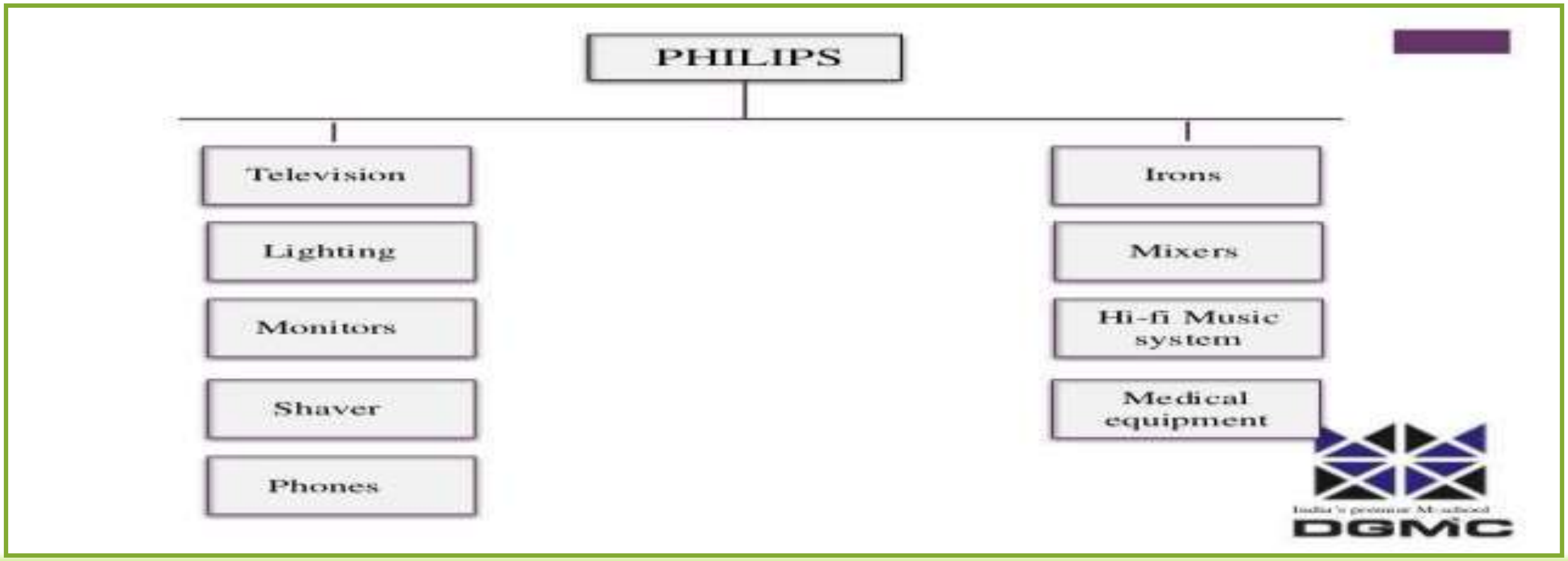
4. Umbrella Branding Strategy

- Umbrella branding has been particularly favored by the companies of the East.

Example:

1. Korean giant LG uses its name on the product like microwaves, refrigerators, computers, television, air conditioners
2. Philips, GE and Canon also follow umbrella branding
3. Indian business houses – TATA and Bajaj



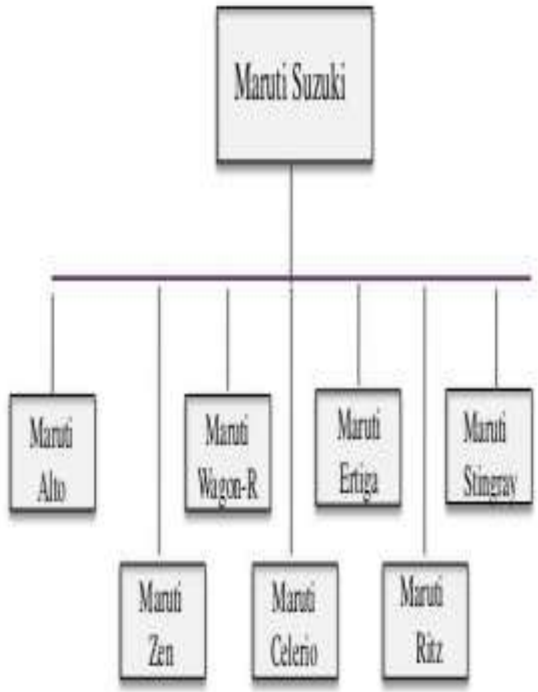
5. Source / Double Branding

- Source brand strategy combines the firm's name with the product brand name. It is hybrid of umbrella brand and product brand strategy
- The product is given a brand name and it is combined with the name of the firm

Example:

1. Pulsar – name of the bike
2. Bajaj – the company name behind it

- Both the name enjoys equal importance and are given equal status in the brand's communication



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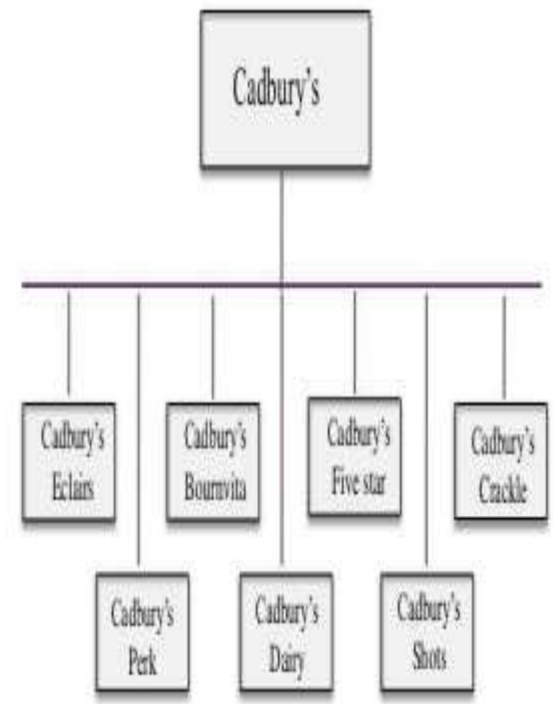
6. Endorsement Branding

- Endorsement brand strategy is modified version of double branding
- It makes the product brand name more significant and the corporate brand name is relegated to a lesser status
- The umbrella brand is made to play an indirect role of passing on certain common generic associations
- It is only mentioned as an endorsement to the product brand
- By a large, the brand seeks to stand on its own
- Unlike the product brand, endorsement brand discloses the identity of the maker, making it a small part of the brand



7. Private Labels / Store branding

- Products marketed by retailers and other members of the distribution chain
- Private labels can be called store brands when they actually adopt the name of the store itself in some way **Example:** Stop brand of clothes by Shopper's Stop

Channels

- Channels are means adopted by a company to communicate with its customers and/or deliver products or services to customers.
- To be specific, channels serve two important purposes for a startup/company -
- **a) Communication**
  - Letting customers discover the company and its products
  - Giving information and details of the company's products and services
  - Engaging with the customers and building communities with them
  - Obtaining feedback from customers

Ex : Facebook, flyers (pamphlets/posters), newspapers

- **b) Delivery**
  - Initiating a trial
  - Making a sale
  - Enabling a return

in the market way before most others do.

Ex : Local retailers, e-commerce sites like Big Basket and Amazon

- One of the objectives of Channels is also to attract *early adopters,* i.e. inidividuals/businesses who start using new products/services launched

Selecting and Measuring Channels

1. **Leverage as many free or low cost channels as you can.**

Resort to free alternatives wherever possible. For example, social media posts on Facebook don’t cost you money, but advertisements in newspapers do.

2. **Channels which are right for the early days of the startup may not necessarily be right for later days.**

This is because the startup would grow bigger, and would address a larger market, for which the previously chosen channels might not work. For example, an FMCG might have used flyers as channels for communication in its initial days, which would obviously not be the right channel at present, given its market presence and scale.

3. **Prioritize on a few channels. Do not try to be on all channels.**
4. **Be consistent with your messaging/posting/communication on the channels chosen.**

Examples of Channels

- Mass Media Coverage (Newspapers/ Magazines)
- Search Engine Marketing (ex: Google AdWords)
- Internet Advertisements
- E-mail marketing
- Blogs
- Sales Force (deploying teams of people who approach customers)
- Affiliate Marketing (marketing outsourced to other agencies)
- Trade Shows
- Offline Events
- Social Media Marketing
- Telecalling
- Retailers/Distributors/Wholesalers
- Leaflets/Flyers/Pamphlets
- Community Building (ex : Wikipedia, StackOverflow)

Measuring the effectiveness of Marketing Channels

We can measure some key performance Indicators for our marketing channels.

- Return on Investment
- Cost per sale
- Cost per lead
- Conversion rate
- Incremental sales
- Customer lifetime value
- Social media analytics

Measuring the effectiveness of Marketing Channels

- **Return on Investment**

It measures the sales revenue a campaign brings on every rupee spent.

Ex: If we spent RS 1,000 on advertising and generated Rs 5,000 on sales, then ROI is Rs.4000 or 400%.

- **Cost per sale**

Cost per sale measure the expense of each sale.

Ex: Marketing campaign resulted in five sales. With Rs1000 budget that is 200 per sale.

- **Cost per Lead**

It measures the cost effectiveness of marketing campaigns. It focuses on the leads generated by the campaign.

Ex: Five sales resulted from 10 leads.With the same Rs.1000 budget that is a cost of 100 per lead.

Measuring the effectiveness of Marketing Channels

- **Conversion rate**

Percentage of visitors converted to leads or customers.

Ex: If Ravi bought 10 leads out of the 1000 visitors, then 1% is the conversion rate towards the sales numbers.

- **Incremental Sales**

It measures the individual contribution of marketing effort towards the sales numbers.

Ex: If Raju sales for the month ids 5,00,000 then it resulted in 1% of his

total sales.

Measuring the effectiveness of Marketing Channels

- **Customer Lifetime Value**

It measures the life time value of your customer by using the formula

CLV=Average sales per customer*Avg,no of times a customer buys per year *Avg.retention time in years for typical customer.

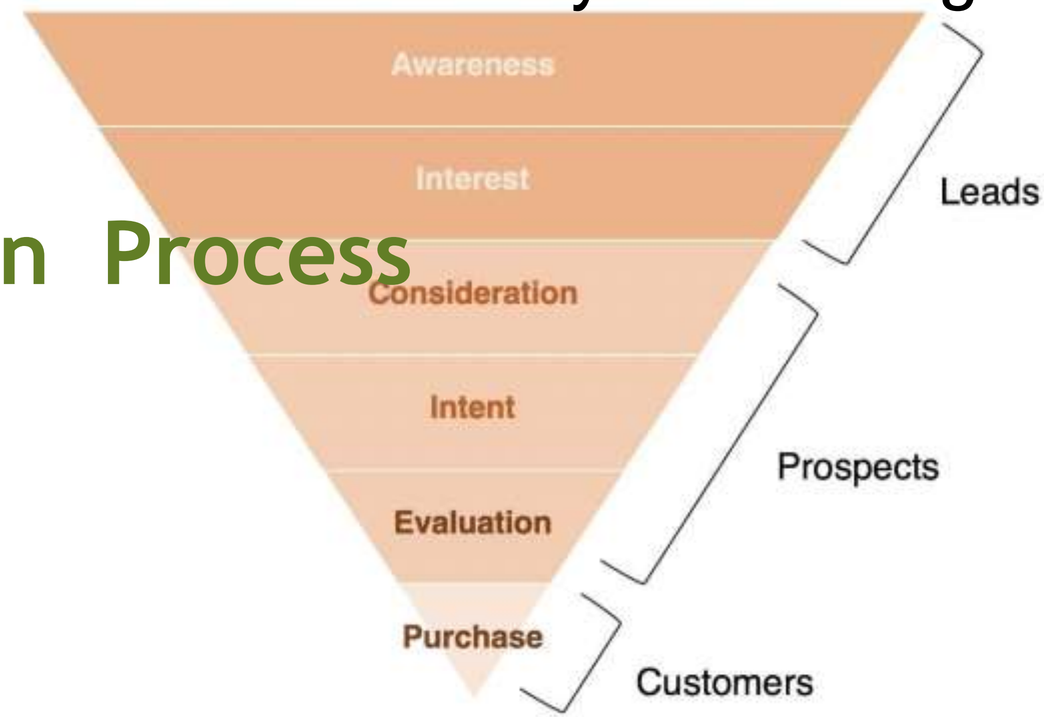
- **Social media Analytics**

Number of customers visiting website, product type customers placing the order, product rating, feedback etc. can be analyzed through data stored through social media.

Customer Acquisition

- Customer Acquisition refers to gaining new consumers. Acquiring new customers involves persuading consumers to purchase a company's products and/or services.
- The targeted customers are one who are not aware about your products and services or they have bought from your competitors.

Customer Acquisition Process



Customer Acquisition Process

Step - 1 : Awareness

- This includes acquiring more number of customers or more number of attractive customers at low cost.
- One of the best strategies to acquire new customers is performing promotional campaigns. These campaigns should be efficient and well targeted to customers.
- Encouragement of customer referrals can also attract new customers. It is always a cost-free advocacy by customers to provide referrals to supplier when they feel satisfied and encouraged and when they have a healthy relationship with customers.
- These referrals or customer’s reference of other customers act like a piece of cake for suppliers as there is no cost and struggle involved in this.

Customer Acquisition Process

Step - 2 : Interest

- Interest among the customers is created by offering certain unique value proposition which is in the form of some value or benefit which is not offered by any existing rival companies.

Step - 3 : Consideration

- Once the interest is created a positive impact is made in the mind of the customers who then consider this product to buy . The good news is that at this stage the customer is considering your product as one of the potential option

Step - 4 : Intent

- A strong intent is created among the customers by giving them some promotional offers like introductory price or complementary gifts thus sealing the decision to buy this product.

Customer Acquisition Process

Step - 5 : Evaluation

- At this stage the customers evaluate your product with other rival products by comparing with parameters like price, quality, efficiency, warranty etc. The customer after evaluating makes his final decision.

Step - 6 : Purchase

- This is the last stage of this acquisition process where the customer is acquired by your company because he has purchased product and this should be a continuous process to generate profits easily.

Some Essentials of Customer Acquisition

- **Define the Target Prospects**
- Your acquisition process begins with identifying who are the potential or targeted customers for your business success. Find out who are they, how to gain them, how you can talk with them or how you can sell your products to them. Finding right customers for your products will help in knowing which individuals are interested in buying your products or using the same type of products from your competition.
- **Define Customer Acquisition Cost**
- Before on-boarding the Customer Acquisition Process, determine the cost you will have to bear to implement the process. Remember, companies have to spend more without assuming customer spend like. Commonly, cost is calculated as total cost spend on acquisition process (sales and marketing cost) divided by total new customers acquired in the given time frame.
- This cost holds important consideration to define customer value. Companies expect return on investment with this acquisition process. The ultimate goal is to gain high ROI value to customer acquisition cost radio.

Selling Process

The steps taken by the salesman to perform his function of selling successfully are referred to as the **selling process.**

- **Step - 1 : Prospecting**
  - Identifying **prospects**, i.e. identifying potential buyers, so that selling efforts (systematic communication with them) are planned in such a way that there are no/minimal wasted calls.
- **Step - 2 : Pre Approach**
  - Obtaining info about the prospects such as their needs, personality and behaviour and developing an image/understanding about them, so that they can each be approached in the most effective way possible.
- **Step - 3 : Approach**
  - Seeking access to the prospect, and meeting him/her in person, i.e. actually coming in contact with the prospect

Selling Process, continued

- **Step - 4 : Presentation and Demonstration**
  - Demonstrating the product, and presenting the characteristics of the product which address the prospect's needs, in order to convince him/her (that this is the best product to satisfy his/her needs) to purchase it.
  - Effective demonstration can be done using the **AIDA (Awareness, Interest, Desire, Action)** Model, which states that the product should be demonstrated in such a way that
    - It gains the customer's **attention**
    - It holds the customer's **interest**
    - It builds up the customer's **desire** to purchase the product
    - It ends up in the **action** of the customer purchasing the product.

Selling Process, continued

- **Step - 5 : Handling Objections**
  - Handling objections raised by the prospect/answering questions asked by the prospect which arise as a result of the presentation made.
  - Is the most difficult situation a salesman faces.
  - The salesman is supposed to effectively deal with the questions in a convincing and systematic manner.
- **Step - 6 : Closing Sales**
  - Closing the demonstration, clinching the deal
  - Getting the customer into the mood of saying **yes**, so that the salesman can ask for an order
  - The salesman is supposed to perform the same in a very decent manner.
- **Step - 7 : Follow Up**
  - Following up the order booked to ensure that it is properly executed.
  - Also used to gather info from customers about the product's use, problems, feedback, satisfaction, etc
  - Necessary to build goodwill and encourages repeated purchases by the customer, and ensures feedback.

Selling Skills

- Selling Skills are the skills needed by salesmen to build relationships with customers, persuade them to make purchases and generate repeat business.
  - Communication **Skills**. ...
  - Active Listening **Skills**. ...
  - Persuasive **Skills**. ...
  - Collaboration **Skills**. ...
  - Self-Motivating **Skills**. ...
  - Problem Solving **Skills**.

- Apart from these, an important selling skill is also to choose the right **method of selling**.

Methods of Selling

Selling Method	What?	Example
SPIN selling	In this method, you can use the power of "questioning". Asking the right questions at the right time will empower the customer to take the right decision. SPIN is an acronym used for 4 different question types, namely; Situation, Problem. Implication, Need-payoff. These questions help you to identify your customers' pain points and to build rapport.	*What's the biggest problem you face while teaching English to students?" or* *What methods do you use in your school to teach grammar? Is it instructor-led or self-paced?*
SNAP selling	This method of selling brings you closer to your prospects' level of thinking. SNAP is an acronym for- Keep it **Simple**, be **iNvaluable**, always **Align**, and raise **Priorities**. This method helps customers take decisions by evaluating choices	*We're dedicated to help you save money with innovative teaching techniques.*

Methods of Selling

Selling Method	What?	Example
Challenger sale	This method is very different from a traditional sales tactics of building rapport with the customer. Using this method, changes the way customers think and leads them to your way of thinking. This method challenges the age-old technique of selling by introducing customers to challenges that they do not know they have, and then create the 'aha' moment. While communicating the same, each conversation needs to be tailored depending on the type of customer.	*We have designed an ONLINE GAME, which you can access through a simple mobile app to make learning grammar an engaging and fun experience for both teachers and students.*
Sandler sale	Using this method results in customer convincing you to sell rather than you convincing the customer to buy. This happens when you convey the impact of a challenge on a business. Here the buyer or the customer himself outlines the problems. In order to get to this point, you must focus on 3 pain areas: Technical, The business-financial impact, Personal impact.	*How is this issue or method you use currently, making your life more difficult?*

Methods of Selling

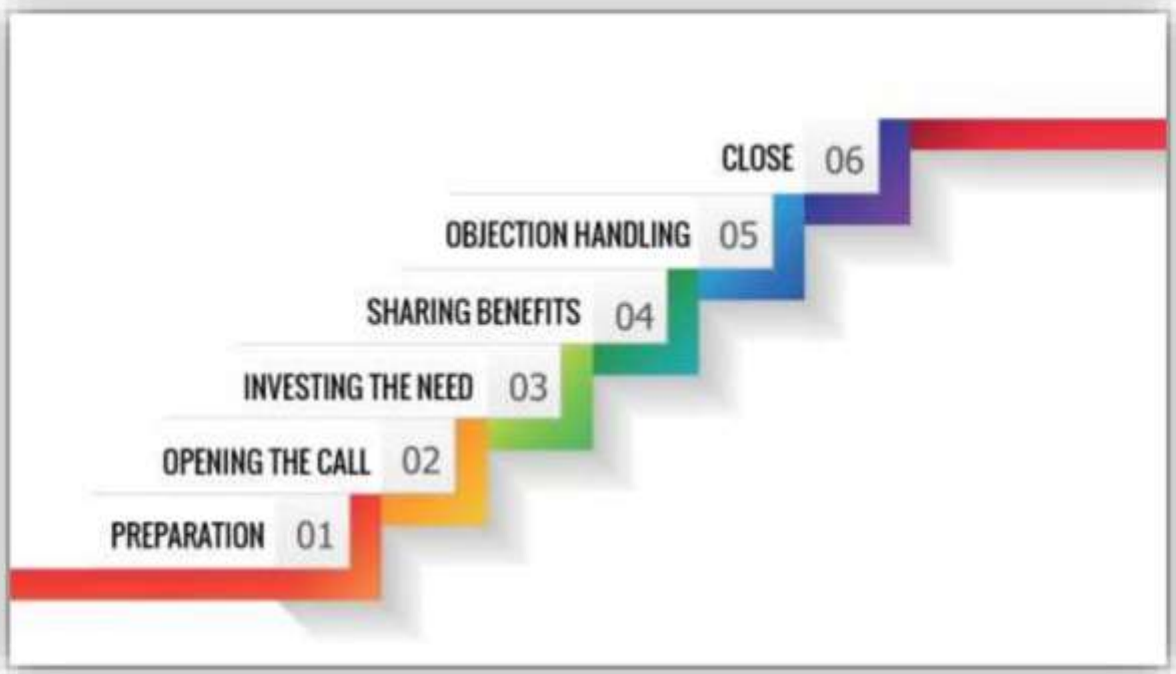
Selling Method	What?	Example
Consultative/ Solution selling	In this method, you put the customer in the centre of the selling process. This can be done by focusing on 6 principles: Research, Ask, Listen, Teach, Qualify, Close. This approach is more solution-oriented, and is more customer-centric. Here you don't sell your product, rather you try and solve customer problems with the help of your product/service.	*Saving money and time, Game-based learning technique, learning at your fingertips, etc.*
Conceptual selling	In this method, you will focus on selling the concept rather than selling the product. This is achieved by three ways- Getting information, Giving information, and Getting commitment.	*I can empathize with students' problems in learning grammar. This ONLINE GAME includes games and quizzes.*
Personal selling	Personal Selling is a planned and personalized communication between the buyer and the seller often in a face-to-face encounter to influence the buyer's purchase decision. It is the oldest selling technique, but extremely useful even in today's world.	*Would you like to see the latest models of LCD that support 4k channels?*

Methods of Selling

While all the above methods can be executed during early days of venture, the Challenger and Sandler selling methods are for seasoned entrepreneurs, to be used at an advanced level of the venture.

The **One-to-One Selling** method is designed by combining the best from all the above methods. For example; it uses extensive questioning techniques like the SPIN method, face-to-face interaction like Personal Selling, Active Listening exactly like in the Consultative method, and so on.

Here is a snapshot of the selling process using a **One-to-One selling** method:



Sales Plans

A **sales plan** is a **strategy** that sets out **sales targets** and tactics for your business, and identifies the steps you will take to meet your **targets**.

A **sales plan** will help you: define a set of **sales targets** for your business, activate, motivate and focus your **sales** team

To improve sales performance, an effective action plan for sales personnel -

- Sales personnel has to create a daily task list and stick to it.
- They have to establish a plan for the team and hold them accountable.
- They need to identify prime selling time.
- They should work on narrowing the revenue gap with cross-selling.
- They must call the right customers with the right offer.

Sales Plans

- The following things are to be kept in mind before designing a sales plan –

Why customers do not buy? Some common reasons are:

1. Failure to understand the customer's buying process.
2. Failure to listen to customers' needs.
3. Not focusing on after-sales service.
4. Pushing too hard for a sale.
5. Inability to answer all questions. Making exaggerated claims.
6. Calling too often, sometimes at odd hours and harassing the customers.
7. Customers don't like salespeople who waste time by calling without a clear purpose.

- Successful sales plans include
  - Establishing trust
  - Knowing customer pains very well
  - Understanding that customers buy solutions, not products/services
  - Making products unique

Business Regulations

- Startups must adhere to multiple federal, state, and local regulations meant to balance the interests of business with those of the public as a whole. These are called **business regulations.**

Ex:

- **Formalizing Business Structure -** sole proprietorship, Pvt. Ltd., Public Ltd., Partnership, etc and complying with registration and legal requirements
- **Applying for the right business licenses -** Shop and Establishment Act in India (common to all new businesses), and other licenses such as VAT registration, Food Safety License, Certificate of Environment Clearance, etc
- Understanding taxation and accounting laws that may be applicable to the business, and complying with rules set by government schemes to avail tax exemption
- Maintaining proper books of accounting and regular auditing of the enterprise
- Adhering to labor laws on minimum wages, EF, PF, holidays, harassment, etc
- Drafting non-disclosure agreements while discussing ideas with investors and people outside the organization
- Effectively managing contracts

Required Registrations for a Startup

- **Shop And Establishment License for Startup Registration**
- Every state has its own Shop and Establishment Act which provides for the rules to be followed by every shop and establishment running its business in the state. The Act also provides for shop and establishment license or trade license. A business that comes under the definition of shop and establishment must obtain the Shop and Establishment Certificate without fail to avoid penalty and fine.
- **Import Export Code Registration**
- All importers who wish to import or export of goods / services from India need to have a valid IE Code. IE Code must be mentioned in all relevant customs documents. Bankers would require you to have valid IEC registration for making payments abroad. To obtain Import Export Code, it is mandatory to have a PAN and a current Account in a bank.
- Apart from this certain businesses for non-banking financial institutions or fin-tech companies NBFC registration is required while for multimedia broadcasting platforms Broadcasting licenses are required to be obtained.

Required Registrations for a Startup

- **Udyog Aadhar Registration**
- Udyog Aadhaar Registration is the new initiative of the Government to support small-scale businesses. Indeed the process of Udyog Aadhaar Registration has come as a replacement to the SSI Registration or/and MSME Registration. Once, Udyog Aadhaar registration is obtained for a business, it can enjoy various subsidies and schemes specially provided by the Government for helping small businesses in India.
- **NOC from all pollution boards after inspection the clearance will be given to the commencement of the business.**

Required Registrations for a Startup

- **GST Registration**
- All manufacturers, sellers, service providers, exporters, etc. need to get their GST Registration in India. All kinds of business Startups need to get GST registration in the following cases:
- When the aggregate turnover is more than INR 20 lakhs, or INR 10 lakhs in Special category states.
- If the business supplies goods intra-state.
- When the business sells goods or provides services online.
- When the business held tax registration under the previous tax regime.
- In addition to the above criteria, various other criteria has been provided under the GST Act, establishing the criteria for GST registration.
- GST registration must be obtained within 30 days of business incorporation, otherwise, the business will be subject to heavy penalties.

Compliance Checklist for Startups

- Used by a startup to check if all the compliances/legal requirements to be fulfilled by the startup have been fulfilled
- Ex:
- 1). Income tax filing.
- 2) GST return filing.
- 3) Renewal of licenses.
- 4) Business Equipment **Compliance**.
- 5) Internal company **compliance**.

Business Structures

❖ Sole Proprietorship

- A busniess that is owned and usually manged by one person (OR) A business that legally has no separate existence from its owner.
- Income and losses are taxed on the individual's personal income tax return.
- The sole proprietorship is the simplest business form under which one can operate a business.
- The sole proprietorship is not a legal entity.

Sole Proprietorship examples

Include small businesses, such as a single person.

- Art studio
- An IT consultation service

Business Structures

Advantages

- you're the boss
- you keep all the profits
- start-up costs are low
- you have maximum privacy
- establishing and operating your business is simple
- it's easy to change your legal structure later if circumstances change
- you can easily wind up your business.

Disadvantages

- you have unlimited liability for debts as there's no legal distinction between private and business assets
- your capacity to raise capital is limited
- all the responsibility for making day-to-day business decisions is yours
- retaining high-calibre employees can be difficult
- it can be hard to take holidays
- you're taxed as a single person
- the life of the business is limited.

❖ Partnership

- A legal form of business with two or more owner.

(OR)

- A partnership is an arrangement in which two or more individuals share the profits and liabilities of a business venture.
- Various arrangements are possible.
- all partners might share liabilities and profits equally.
- Not every partner is necessarily involved in the management and day-to-day operations of the venture.
- some partners may have limited liability

Advantages of a partnership

- two heads (or more) are better than one
- your business is easy to establish and start-up costs are low
- more capital is available for the business
- you'll have greater borrowing capacity
- high-calibre employees can be made partners
- there is opportunity for income splitting, an advantage of particular importance due to resultant tax savings
- partners' business affairs are private
- there is limited external regulation
- it's easy to change your legal structure later if circumstances change.

Disadvantages of a partnership

- the liability of the partners for the debts of the business is unlimited
- each partner is ‘jointly and severally’ liable for the partnership’s debts; that is, each partner is liable for their share of the partnership debts as well as being liable for all the debts
- there is a risk of disagreements and friction among partners and management
- each partner is an agent of the partnership and is liable for actions by other partners
- if partners join or leave, you will probably have to value all the partnership assets and this can be costly.

❖Corporation

- A Legal entity with authority to act and have liability separete form its owners.
- Corporations enjoy most of the rights and responsibilities that an individual possesses.
- That is, a corporation has the right to enter into contracts.
- Loan and borrow money.
- Hire employees.
- Own assets and pay taxes.
- It is often referred to as a "legal person."

ExampleS Of Corporation

1. A corporation is owned by shareholders, and their ownership is represented by shares of stock.

2. A corporation has a board of directors, which is a group of people elected by the shareholders to oversee the corporation's management.

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Corporation

Advantages of corporation

- Limited liability. The shareholders of a corporation are only liable up to the amount of their investments. The corporate entity shields them from any further liability.
- Source of capital. A publicly-held corporation in particular can raise substantial amounts by selling shares or issuing bonds.
- Ownership transfers. It is not especially difficult for a shareholder to sell shares in a corporation, though this is more difficult when the entity is privately-held.
- Perpetual life. There is no limit to the life of a corporation, since ownership of it can pass through many generations of investors.

Disadvantages of corporation

- Double taxation. Depending on the type of corporation, it may pay taxes on its income, after which shareholders pay taxes on any dividends received, so income can be taxed twice.
- Excessive tax filings. Depending on the kind of corporation, the various types of income and other taxes that must be paid can require a substantial amount of paperwork.
- Independent management. If there are many investors having no clear majority interest, the management team of a corporation can operate the business without any real oversight from the owners.